NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- II)

C.A.(CAA)-92/ND/2022

IN THE MATTER OF SCHEME OF ARRANGEMENT:

BETWEEN

RELIGARE BROKING LIMITED

... Applicant No.1 /Transferor Company

WITH

RELIGARE DIGITAL SOLUTIONS LIMITED

... Applicant No.2 /Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on 30.11.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L. N. GUPTA, HON'BLE MEMBER (T)

PRESENT

For the Applicant : Adv. Sunil Fernandes, Adv. Diksha Dadu, Adv. Rishabh Sachdeva, Mr. Abhishek, PCA

ORDER

PER: SH. L. N. GUPTA, MEMBER (T)

Under consideration is the Application No. C.A.(CAA)92/ND/2022 filed under Sections 230 to 232 of the Companies Act 2013 filed in the matter of Scheme of Arrangement between Religare Broking Limited (Transfer Company) and Religare Digital Solutions Limited (Transferee Company). The prayer made in the application is to dispense with the meeting of Shareholders and Creditors in relation to the Transferor and Transferee Company for approval of the **'Scheme of Arrangement'**, which is proposed to take effect from the Appointed Date of 01.04.2022. The brief details of the Companies involved in the Arrangements are given in paragraph 2 and paragraph 3 below.

2. Religare Broking Limited (hereinafter referred to as the **"Applicant No. 1/Transferor Company"**) having CIN U65999DL2016PLC314319 is a private limited company incorporated under the Companies Act, 2013 on 20.07.2016. The registered office of the Transferor Company is situated at 2nd Floor, P-14, 45/90, P-Block, Connaught Place, Delhi – 110001. The Authorised Share Capital of the Company is Rs.2,56,00,00,000/- and the Paid-up share Capital of the company is Rs.2,30,79,58,170/-.

3. Religare Digital Solutions Limited (hereinafter referred to as the **"Applicant No. 2/Transferee Company")** having CIN U67110DL2022PLC 396298 is a private limited company incorporated under the Companies Act,

2013 on 07.04.2022. The registered office of the Transferee Company is situated at 2nd Floor, P-14, 45/90, P-Block, Connaught Place, Delhi – 110001. The Authorised Share Capital of the Company is Rs.1,00,00,000/- and the Paid-up share Capital of the company is Rs.10,00,000/-.

4. The present application has been jointly filed by both the Transferor and Transferee Company. Therefore, the 'Transferor' and 'Transferee' Company together are called **'Applicant Companies'** hereinafter. The Registered offices of both the Companies are in Delhi and therefore, the jurisdiction lies with this Bench.

5. It is seen from the record that the Board of Directors of the Transferor Company on 18.05.2022 and Transferee Company on 25.05.2022 had approved the proposed 'Scheme of Arrangement'.

6. It is stated by the Applicant Companies that the aforesaid Scheme of Arrangement will result in the following advantages:

> "*a) The growth trajectory and the nature of risk and returns involved in the E-Governance Business (as defined hereinafter) are distinct from those of the Broking Business;*
>
> *b) Facilitate each business to be effectively managed and achieving growth for E-Governance Business independently;*
>
> *c) Clear benchmarking of E-Governance Business with its peers after segregation from Broking Business;*
>
> *d) Enhance management focus and operational flexibility; and*
>
> *e) Attracts a distinct set of investors and strategic partners for E-Governance Business."*

7. The Applicant Companies have stated on separate affidavits that there are no pending investigations or proceedings against any of the Applicant Companies. The Transferor Company has filed its Affidavit dated 08.09.2023 stating that earlier one show cause notice was issued to the Transferor Company by SEBI, which stands discharged vide order dated 23.08.2023 passed by SEBI. A copy of the order has been placed on record vide additional affidavit dated 08.09.2023 on pages 05-22. The first and last two pages of the order reads thus:

QJA/AB/MIRSD/MIRSD3/ ২৪২০ /2023-24

SECURITIES AND EXCHANGE BOARD OF INDIA
ORDER

Under Section 12(3) of the Securities and Exchange Board of India Act, 1992 read with Regulation 27 of the Securities and Exchange Board of India (Intermediaries) Regulations, 2008

In respect of:

Name of the Noticee	SEBI Registration No.
Religare Securities Limited (Now known as Religare Broking Limited)	INZ000174330

In the matter of EOW Investigations

Background:

1. An investigation was conducted by the Securities and Exchange Board of India (hereinafter referred to as '**SEBI**'), pursuant to two news articles dated January 08, 2014, *inter alia*, alleging the dematerialization and selling of shares in dormant accounts using forged documents by certain entities during the period from September 14, 2009 till March 08, 2013 (hereinafter referred to as '**Investigation Period**'). SEBI's investigation revealed that shares of 14 listed companies were allegedly acquired in the name of 26 bogus and non-existing entities through transfer of allegedly stolen or counterfeit physical shares and the said shares were subsequently dematerialized in the accounts of these 26 bogus entities.

2. It was observed during the course of investigation that Religare Securities Limited (now known as Religare Broking Limited) (hereinafter referred to as the "**the noticee/ RBL**"), a registered stock broker and a member of BSE Limited (hereinafter referred to as '**BSE**') and National Stock Exchange of India Limited (hereinafter referred to as '**NSE**'), had allegedly failed to exercise due skill, care, diligence, professionalism and efficiency in the conduct of its business, in relation

Order in respect of Religare Securities Limited (Now known as Religare Broking Limited) Page 1 of 18

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sale of shares received through off-market transactions, it cannot be held that the same fell within the purview of the term '*suspicious transactions*' and that the noticee was under an obligation to report the said transactions to FIU only on the basis of annual income range declared by Mr. Rathi.

29. I consider it necessary to compare the facts of the present matter with the facts of the Marwadi case (relied upon by the DA) to put things in a better perspective. The Marwadi case, *inter alia*, was in respect of execution of 200 trades, out of which 197 were self-trades. The Hon'ble SAT had therein held that 197 trades is not a small number and self-trades, by their very nature, are fictitious and had accordingly held the noticee therein, liable for non-reporting of suspicious transactions. The number of trades involved in the present matter is comparatively very low (i.e., 3 sell transactions executed in the year 2012). Thus, the facts of the present case are distinguishable from the Marwadi case.

30. In light of the aforesaid discussion, I hold that it would not have been possible to suspect that the sell transactions had been done in circumstances of unusual or unjustified complexity or involved the proceeds of an offence specified in the schedule of Prevention of Money-laundering Act, 2002 or involved financing of the activities relating to terrorism or had no economic rationale or bona fide purpose.

31. Having found that the impugned transactions cannot be labelled as '*suspicious transactions*', I answer the questions framed at Para 17(b) and 17(c), i.e., whether the transactions of Mr. Rathi fall within the purview of the term '*suspicious transactions*' as defined under rule 2(1)(g) of the PML Rules and the noticee violated the SEBI PML Circulars, above in the negative.

32. In view of the same, I disagree with the findings of the DA and hold that the noticee has not violated Clause A(2) of the Code of Conduct as specified in Schedule II read with regulation 9(f) of the Broker Regulations. Thus, the question framed at Para 17(d) is also answered in the negative. Accordingly, SCN is liable to be disposed of against the noticee without issuance of any directions.

Order

33. I, in exercise of the powers conferred upon me under Section 12(3) and Section 19 of the SEBI Act read with Regulation 27(5) of the Intermediaries regulations, hereby dispose of the instant proceedings against the noticee, namely, Religare Securities Limited (Now known as Religare Broking Limited) [Registration No. INZ000174330] without issuance of any directions.



DATE: AUGUST 23, 2023
PLACE: MUMBAI

ANAND R. BAIWAR
EXECUTIVE DIRECTOR
SECURITIES AND EXCHANGE BOARD OF INDIA

8. Both the Applicant Companies have also placed on record the Certificates from the Statutory Auditors confirming that their Accounting Standards are in conformity with the provision of Section 133 of the Companies Act 2013.

9. Both the Applicant Companies have filed their respective Memorandum of Association (MoAs) and Articles of Association (AoAs). The Applicant Companies have filed their latest Balance Sheets as of 31.03.2022 on record.

10. The position regarding the Applicant Company-wise no. of Shareholders and Creditors and their Consent through Affidavits is summarised below:

Company	No. of Share-holders	Percentage of Shareholders given Consent	No. of Secured Creditors	Percentage of Secured Creditors given Consent (in value)	No. of Unsecured Creditors	Percentage of Secured Creditors given Consent (in value)
Religare Broking Limited, Applicant No.1/ Transferor Company	7	100%	2	100%	1,86,841	Not Obtained
Religare Digital Solutions Limited Applicant No.2/ Transferee Company	7	100%	Nil	N.A.	Nil	N.A.

11. All the shareholders of the Applicant Companies have given 'No Objection' to the Scheme on their respective affidavits. Therefore, the requirement of convening the Meetings of Shareholders in respect of the Applicant Companies is dispensed with.

12. All the secured creditors of the Transferor Company have given 'No Objection' to the Scheme on their respective affidavits. Therefore, the meeting of Secured Creditors of Transferor Company is dispensed with.

13. Since there are no Secured Creditors and Unsecured Creditors in the Transferee Company, therefore, the requirement of convening their meeting does not arise.

14. There are 1,86,841 Unsecured Creditors in the Transferor Company, whose consent has not been obtained and dispensation of the meeting has been sought in respect of those Unsecured Creditors. To buttress the plea, the Applicant Companies have contended the following :

a) The Transferee Company is a wholly owned subsidiary company of the Transferor Company;

b) The Transferor Company has 1,86,841 (One Lakh Eighty-Six Thousand Eight Hundred and Forty-One) Unsecured Creditors as of 30th June, 2022. The Transferor Company seeks the dispensation for convening the meeting of Unsecured Creditors of the Transferor Company without obtaining the consent letter on the ground that the

scheme does not entail or involve any compromise or arrangement between the Transferor Company and its unsecured creditors. The interest of all unsecured creditors remains intact and no reduction in the liabilities/ payable to the unsecured creditors is being proposed. The liabilities towards all the unsecured creditors are being discharged by the Transferor Company in the normal course of business and the same shall continue to be discharged/settled as they arise in the normal course of business. Further, the Transferor Company is getting adequate consideration in lieu of transfer of business which is more than the amount of net assets being transferred by the Transferor Company. Since, the Transferee Company is a wholly-owned subsidiary of the Transferor Company, in terms of consolidated financials, no value is being extracted from the balance sheet of the Transferor Company;

c) The Transferee Company has a large number of creditors (i.e., 1,86,841 as of June 30, 2022) due to the nature of business i.e., Broking wherein there are large numbers of creditors with small balances;

d) The Scheme of Arrangement does not entail or involve any compromise or arrangement between the Transferor Company and its unsecured creditors;

e) The interest of all unsecured creditors remains intact and no reduction in the liabilities/ payables to the unsecured creditors is being proposed;

f) The liabilities towards all the unsecured creditors are being discharged by the Transferor Company in the normal course of business and the same shall continue to be discharged/settled as they arise in the normal course of business.

g) Further, the Transferor Company is getting adequate consideration (i.e., Rs. 35 Lakh) in lieu of the transfer of business, which is more than the amount of net assets (i.e., assets less liabilities of appx Rs. 10 Lakh) being transferred by the Transferor Company.

h) The post-scheme net worth of the Transferor Company would be positive of Rs. 2,081,245,206 as of March 31, 2022. (Annexure 13, Page No. 289 of Volume 2). The proposed Scheme is in no way prejudicial to the interest of creditors of the Transferor Company.

i) Non-dispensation of the meeting of unsecured creditors would lead to a substantial cost by the Transferor Company, which is not in the interest of shareholders and the Transferor Company.

15. Further in this regard, the Applicant Companies have relied upon the following Judgements in support of their contentions:

(i) Hon'ble Bombay High Court in the matter of 'Mahaamba Investment Ltd.' vs. 'IDI Ltd.' (2001) SCC Online Bom 1174.

(ii) DLF Limited & Others under CA (AT) No. 180 of 2019 decided on 19th August 2019 by Hon'ble NCLAT read with CA (CAA) 741/2019 with CA (CAA) No. 39/Chd/Hry/2018 decided on 21st November 2019.

(iii) Religare Comtrade Limited & Ors. CA (CAA) 01(PB)/2021 decided on 21.12.2021 by Principal Bench New Delhi.

16. We have heard the submissions made by the Applicant Companies through its counsel and perused the application and Judgements placed on record. In the backdrop of the contentions made by the Applicant Companies in Para 14, we refer to the Judgement of the Hon'ble NCLAT passed in the matter of **"Mohit Agro Commodities Processing Pvt Ltd Vs Gujarat Ambuja Exports Ltd"** in Company Appeal (AT) No. 59 of 2021 dated 28.06.2021:

"20. This Tribunal has placed reliance in 'DLF Phase IV, Commercial Developers Limited and Ors.' in Company Appeal (AT) No. 180 of 2019 and observed that the scheme would not prejudicially affect the Creditors or Shareholders of the Appellant Company when an Application is filed by the 'Transferor Company' or 'Transferee Company', a separate Application is not necessary and dispensed with the meeting of the equity Shareholders and Creditors of the Appellant Company. At the cost of repetition, keeping in view that the financial position of the 'Transferee Company' is highly positive, the merger does not involve any compromise/arrangement with any Creditor of the Company, that there would be a positive net worth and Creditors would not be compromised,

the Tribunal ought to have exercised the discretion in dispensing with the requirement of convening the meeting which would facilitate ease of doing business and save time and resources. ***To reiterate, we observe that the rights and liabilities of Secured and Unsecured Creditors were not getting affected in any manner by way of the proposed scheme as no new shares are being issued by the 'Transferor Company' and no compromise is offered to any Secured and Unsecured Creditors of the 'Transferee Company'. Therefore, we are of the considered view that when the 'Transferor and Transferee Company' involve a parent Company and a Wholly Owned Subsidiary the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with as the facts of this case substantiate that the rights of the Equity Shareholders of the 'Transferee Company' are not being affected.***

(Emphasis Supplied)

17. The Applicant Companies have averred in the application that the rights of the Unsecured Creditors of the Transferor Company will not be affected through the Scheme and the Net Worth of the Transferor Company will be positive post-approval of the Scheme. In support of their contention that the post-approval, Net Worth of the Transferor Company will be positive, the Applicant Companies have placed a copy of the Certificate issued by the Chartered Accountant, which is reproduced overleaf :

Annexure - 13

MAAN & CO.
Chartered Accountants

B-376, UGF, NIRMAN VIHAR
DELHI-110092
+91-11-46170114
+91-11-42427802
office@maanllp.com

NET WORTH CERTIFICATE

We, **MAAN & CO.**, Chartered Accountants, have examined the books and records of **M/s Religare Broking Limited (CIN- U65999DL2016PLC314319)** currently having registered office at 2nd Floor, P-14, 45/90, P-Block, Connaught Place, New Delhi 110001 as produced before us and the information and explanations provided to us and on the basis of such examination and explanations certify that post-scheme Net-worth as on March 31, 2022 of the Company is as follows:

Description	Pre-Scheme	Post-Scheme
Net Worth as on March 31, 2022 (Amount in INR)	2,078,730,081 (Rupees Two Hundred Seven Crores Eighty Seven Lakhs Thirty Thousands Eighty One Only)	2,081,245,206 (Rupees Two Hundred Eight Crores Twelve Lakhs Forty Five Thousands Two Hundred and Six Only)

- This Certificate has been provided by **MAAN & CO.** at the request of **M/s Religare Broking Limited.**
- This Certificate is issued for onward submission with the Hon'ble National Company Law Tribunal ('NCLT') in respect to the Company's application under Section 230 to 232 of the Companies Act, 2013 ("Act") read with Companies (Compromise, Arrangements and Amalgamations) Rules 2016 and any other relevant provisions of the Act for the scheme of arrangement between Religare Broking Limited and Religare Digital Solutions Limited ('RDSL'), subject to terms and conditions as provided in the scheme of arrangement.
- This Certificate is not intended for general circulation or publication and is not to be reproduced or used for any other purpose without our prior written consent, other than for the purpose stated above.
- The computation of net worth based on our scrutiny of the books of accounts, records and documents is true and correct to the best of our knowledge and as per information provided to our satisfaction. This net worth is being computed to present the excess of assets over liabilities and not for the purpose of Companies Act, 2013.
- The computation of net worth is in accordance with the Audited Financial Statement for the period ended March 31, 2022 and factoring the estimated impact of the Scheme of Arrangement.
- The detailed working of the Net-worth is enclosed in Annexure A.

For MAAN & CO.
Chartered Accountants
FRN: 032152N

MAAN & CO. Delhi M. No:097517 FRN : 032152N Chartered Accountants

Partner: Amit Arora
M.No: 097517
Place: New Delhi
Date: 08-September-2022
UDIN: 22097517ARICJN5953

18. Further, it is observed that this is not the case, where the Transferor Company will be dissolved post-approval of the scheme. Rather, as per the Scheme of Arrangement, only one undertaking namely, the E-Governance undertaking is proposed to be transferred from the Transferor Company and vested in the Transferee Company. The relevant extracts of the Scheme in this regard read thus:

2.1. TRANSFER AND VESTING OF THE E-GOVERNANCE UNDERTAKING

Upon coming in effect of this Scheme and with effect from the Appointed Date and upon the receipt of relevant approvals and subject to the provisions of this Scheme, the E-Governance Undertaking of the Transferor Company shall, free from all Encumbrances, stand transferred and vest in the Transferee Company, on a going concern basis by way of a Slump Sale without any requirement of a further act or deed so as to become as and from the Appointed Date, the undertaking of the Transferee Company, and to vest in the Transferee Company, all the Assets relating to the E-Governance Undertaking, E-Governance Undertaking Liabilities, rights, title or obligations of the E-Governance Undertaking therein, in the manner described hereunder.

2.2. TRANSFER OF ASSETS

2.2.1. Upon this Scheme becoming effective and with effect from the Appointed Date, all Assets relating to the E-Governance Undertaking, as are movable in nature or are otherwise capable of transfer by manual delivery or by endorsement and delivery, shall, free from all Encumbrances, stand transferred to and vested in the Transferee Company and shall become the property and an integral part of the Transferee Company. The vesting pursuant to this Clause 2.2.1 shall be deemed to have occurred by manual delivery or endorsement and delivery, as appropriate to the property being vested and title to the property shall be deemed to have been transferred accordingly.

2.2.2. Upon this Scheme becoming effective and with effect from the Appointed Date, all movable Assets of the Transferor Company relating to the E-Governance Undertaking, other than those specified in Clause 2.2.1 above, including cash and cash equivalents, sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with government, semi-government, local and other authorities and bodies, customers and other persons shall without any requirement of a further act, instrument or deed become the property of the Transferee Company.

2.2.3. Upon this Scheme becoming effective and with effect from the Appointed Date, all Intellectual Property of the Transferor Company to the extent being used in relation to the E-Governance Undertaking or as agreed between the Transferor Company and Transferee Company otherwise, shall without any requirement of any further act or deed stand transferred and vested in the Transferee Company. This Scheme shall serve as a requisite consent for use and transfer of Intellectual Property without requiring the execution of any further deed or document so as to transfer of the said Intellectual Property in favour of the Transferee Company.

19. In the facts and circumstances aforementioned, we dispense with the meeting of the Unsecured Creditors of the Transferor Company. Though we have dispensed with the requirement of convening the meeting of the Unsecured Creditors of the Transferor Company, however, in the interest of natural justice and in order to protect the interest of the unsecured creditors, we direct the applicant companies to make a self-contained publication of the Scheme in two national newspapers (one in English and another in Hindi) to enable any of the unsecured creditors of the company to raise any objection. The applicant companies will file an affidavit in compliance.

20. **In the sequel to the abovementioned, the Application is allowed.**

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)